ACCOUNTANCY

Maximum marks: 100 **Theory: 80 Marks**

Time: 3 hrs **Project Work: 20 Marks**

Financial Accounting –I

Unit-I: Introduction to Accounting **06 Marks**

(i) Book keeping Meaning, Accounting meaning, objectives. Difference between Book-keeping and Accounting, Accounting as source of information, internal and external users of Accounting information and their needs.

(ii) Qualitative characteristics of Accounting information-reliability, relevance, Understandability and comparability.

(III) Basic accounting terms: business transaction, account, capital, drawings, Liability (Non- Current and current); Asset (Non- current; tangible, intangible assets, current assets), receipts (capital and revenue), expenditure (capital, revenue and deferred), expense, income, profits, gains and losses, purchases, sales, stock, trade receivables (debtors and bills receivable), trade payable (creditors and bills payable), goods, cost, vouchers, Discount - trade and cash, bad debts, Vouchers (cash and non-cash), source documents. Invoices, cash memo, pay in slip, cheque.

Unit 2: Theory Base of Accounting **06 Marks**

(i) Accounting Principles-concept

(ii) Accounting principles: Accounting Entity, Money measurement, Going Concern, Accounting Period, Costs Concept, Dual Aspect, Revenue Recognition (Realisation), Matching concept, Accrual, Full Disclosure, and Consistency. Conservatism, Materiality.

(iii) Bases of Accounting-Cash Basis, Accrual Basis

Unit 3: Recording of Business Transactions **26 Marks**

i. Accounting Equation Approach-Meaning and Analysis of transactions using Accounting Equation.

ii. Rules of Debit and Credit-traditional and modern approach.

iii. Recording of Transactions: Books of original entry-Journal, Special Purpose Books: Cash Book:
Simple Cash Book, Cash Book with Discount Column, Cash Book with Bank and Discount Columns, Petty Cash Book. Other books: purchases book, sales book, purchases returns book, sales returns book and journal proper.

iv. Ledger-meaning, utility, format; posting from Journal and Subsidiary books; Balancing of
Accounts.

V. Bank reconciliation statement- calculating bank balance at accounting date: need and preparation.

Unit 4: Trial Balance and Rectification of Errors **06 Marks**

i. Trial balance: Meaning, objectives and preparation, (Scope: Trial Balance with balance method).

ii. Error: Types of Errors: Errors of omission, commission, principles and compensating errors affecting Trial Balance; errors not affecting Trial Balance.

iii. Detection and Rectification of Errors (One Sided and Two Sided); use of Suspense Account.

Unit 5: Depreciation, Provisions and Reserves **10 Marks**

i. Depreciation: Meaning and need for charging depreciation, factors affecting depreciation, methods of depreciation-Straight Line method, Written Down

Value method (excluding change in method), Method of recording depreciation-charging to asset account, creating provision for depreciation/accumulated depreciation account; Treatment of disposal of asset.

ii. Provisions and Reserves: meaning, Importance, difference between Provisions and Reserves, types of Reserves: Revenue Reserve, Capital Reserve, General Reserve, Specific Reserve and secret Reserves.

Financial Accounting-II

Unit 6: Financial Statements of Sole Proprietorship from Complete and Incomplete Records **26 Marks**

(i) Financial Statements: Meaning and uses

(ii) Capital expenditure and deferred revenue expenditure, Trading and Profit and loss account-Gross Profit, operating profit and net profit, Balance Sheet: need, grouping, marshalling of assets and Liabilities. Preparation of Trading and Profit and Loss Account and Balance Sheet of sole proprietorship.

(iii) Adjustments of preparation of financial statements: with respect to closing stock, outstanding Expenses, prepaid expenses, accrued income; income received in advance, depreciation, bad debts, Provision for doubtful debts, provision for discount on debtors, manager's commission, abnormal Loss, goods taken for personal use and goods distributed as free samples.

Scheme of Assessment (Theory)

Question paper contains five sections namely

1. **Section –A** contains 8 (Objective Type Question/Multiple Choice Questions) of 1 mark each. 1x 8 = 8 marks
2. **Section- B** contains 4 Short Answer Type Questions of 3 marks each to be answered in20 to 30 words. 3 x 4 = 12 marks
3. **Section – C** contains 5 Short Answer type questions of 4 marks each to be answered in 100 to 150 words. 4 x 5 = 20 marks
4. **Section - D** contains 4 Long Answer type questions of 6 marks each to be answered in 150to 200 words. (With Internal Choice) 6 x 4 = 24 marks
5. **Section – E** contains 2 Long Answer type questions of 8 marks each to be answered in 150to 200 words. (With Internal Choice) 8 x 2 = 16 marks

Note: The paper setter shall incorporate Higher Order Thinking Skills (HOTS) questions apart from knowledge, memory and application based questions.

Project Work: - 20 Marks

Any one

1. Collection of source documents, preparation of vouchers and presentation of source documents of trading and banking concerns.
2. Preparation of bank reconciliation statements with the given cash book and pass book with 20-25 transactions.
3. Comprehensive project starting with journal entries regarding any sole proprietorship business, posting them to the ledger and preparation of Trial balance. The students

will then prepare Trading and profit and Loss. Account on the basis of the prepared trail balance. Expenses, incomes and profit (loss) are to be depicted using pie chart/bar diagram.

The above-mentioned projects should be presented in a project file which should be made available for evaluation.

- Internal Assessment: - 05 Marks
- External Assessment: - 15 Marks

Project File	03 Marks
Written Test	09 Marks
Viva-Voce	03 Marks

BOOKS PRESCRIBED

1. *Accountancy Financial Accounting Part-I, Textbook for Class 11th, Published by NCERT.*
2. *Accountancy Financial Accounting Part-II, Textbook for Class 11th, Published by NCERT*